2.2

Organisation and Management

Cambridge IGCSE Business

- Org Structures
- Tall vs Flat
- 5 Mgmt Functions
- Delegation
- Autocratic
- Democratic
- Laissez-Faire
- Downsizing
- Trade Unions

Organisation and Management

This topic covers how businesses are structured, how managers lead and make decisions, and why businesses sometimes reduce the size of their workforce.

- Understand tall and flat organisational structures
- Know the 5 functions of management
- Compare autocratic, democratic and laissez-faire leadership
- Explain downsizing and redundancy
- Understand the role of trade unions

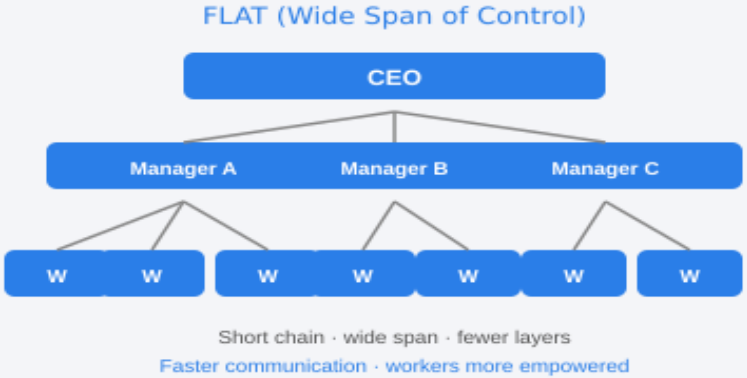
Organisational Structures

Tall · Flat · Span of control · Chain of command

Organisational Structures – Tall vs Flat

An organisational chart shows the structure of a business — who reports to whom, the levels of hierarchy and the chain of command.

Tall vs Flat Organisational Structures



	Tall Structure	Flat Structure
Layers	Many levels of hierarchy	Few levels of hierarchy
Span of control	Narrow — few direct reports	Wide — many direct reports
Communication	Slow — long chain of command	Fast — short chain of command
Best for	Large organisations, clear roles	Small firms, empowered workers

Exam tip: Chain of command = path from top to bottom. Span of control = number of direct reports. Delegation = passing authority down. Wider span → more delegation.

Organisational Structures – Flexible Working & Functional Areas

Modern businesses use flexible working arrangements to attract and retain talent. Functional areas group workers by what they do.

The main functional areas of a business:

Operations

Production of goods and services · quality control · supply chain

Marketing

Market research · product development · pricing · promotion

Finance

Budgets · accounts · cash flow · financial reporting

Human Resources

Recruitment · training · contracts · employee wellbeing

Flexible working arrangements:

Home Working	Work from home — saves commuting, flexible hours, lower office costs. Risk: isolation, harder to supervise
Flexible Hours	Choose start/end times around core hours — better work-life balance, attracts parents. Risk: coordination issues
Part-time	Fewer hours than full-time — lower wages cost, flexible staffing. Risk: less committed, more staff to manage
Zero Hours	No guaranteed hours — very flexible for business. Risk: insecurity for worker, low motivation

Exam tip: Part-time employees cost less in total wages but may be less committed than full-time. Always link advantages and disadvantages to the specific business context.

Management & Leadership

5 functions of management · Leadership styles · Delegation

The Five Functions of Management

Management means getting work done through other people. Every manager carries out five key functions — all five must work together for the business to run effectively.

Planning
Set objectives and map the strategy to achieve them. Includes budgets, targets and timelines.

Organising
Allocate resources — people, money and equipment — to the tasks that need doing.

Coordinating
Ensure all departments and workers are aligned and working towards the same goal together.

Commanding
Direct and lead the workforce — give clear instructions and motivate people to perform.

Controlling
Monitor actual results against the plan and take corrective action where needed.

Exam tip: Learn all 5 functions. The most common exam question asks you to identify which function a manager is carrying outin a given scenario — always name it and explain WHY.

Delegation – Passing Authority Down the Organisation

Delegation is when a manager passes the authority to carry out a task to a subordinate. The manager keeps overall accountability — it is not just passing work down.

Advantages of Delegation

- Frees manager to focus on strategic, high-level decisions
- Develops and motivates employees — builds their skills and confidence
- Speeds up decisions — authority sits closer to where work happens
- Prepares employees for promotion — grows future managers

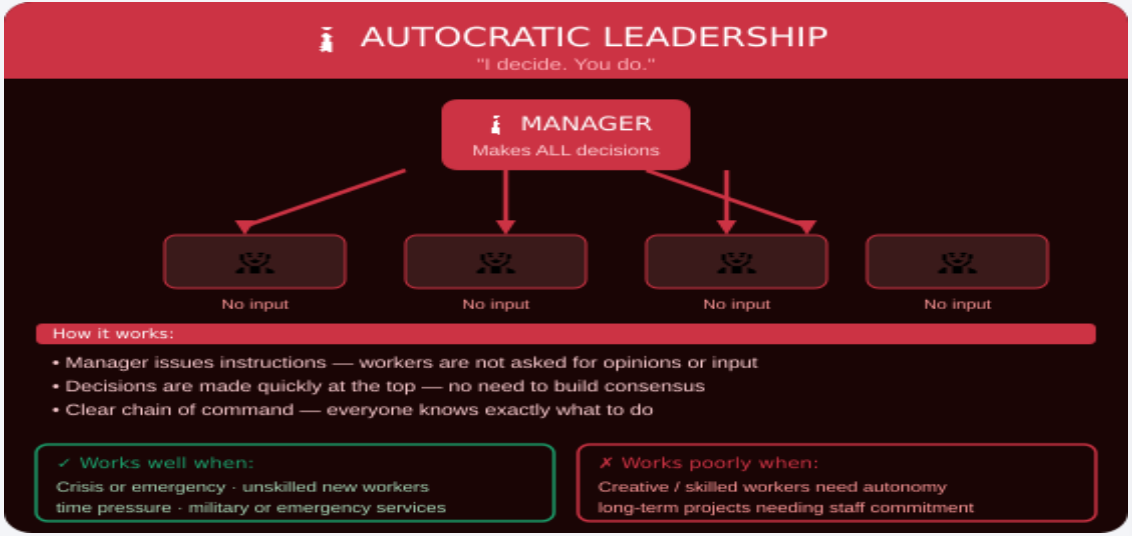
Disadvantages of Delegation

- Manager loses some direct control over the outcome
- Employee may lack skills or make poor decisions
- Risk of misunderstanding if task is not explained clearly enough
- Not suitable when confidentiality or safety is critical

Exam tip: Key distinction — delegation means passing AUTHORITY, not ACCOUNTABILITY. The manager is still responsible if the employee fails. This is a common exam question.

Leadership Style 1 – Autocratic

A leadership style is the way a manager makes decisions and interacts with the team. The autocratic style means the manager makes all decisions alone — workers are told what to do.



Advantages

- Fast decisions — no time wasted consulting the team
- Clear direction — workers know exactly what to do
- Effective with unskilled or new workers who need guidance

Disadvantages

- Demotivates workers — no voice or input
- Reduces creativity — ideas from staff are ignored
- Workers may leave — high labour turnover

When to use Autocratic — real examples:

Emergency services
Fire, police, military — split-second decisions save lives. No time to consult.

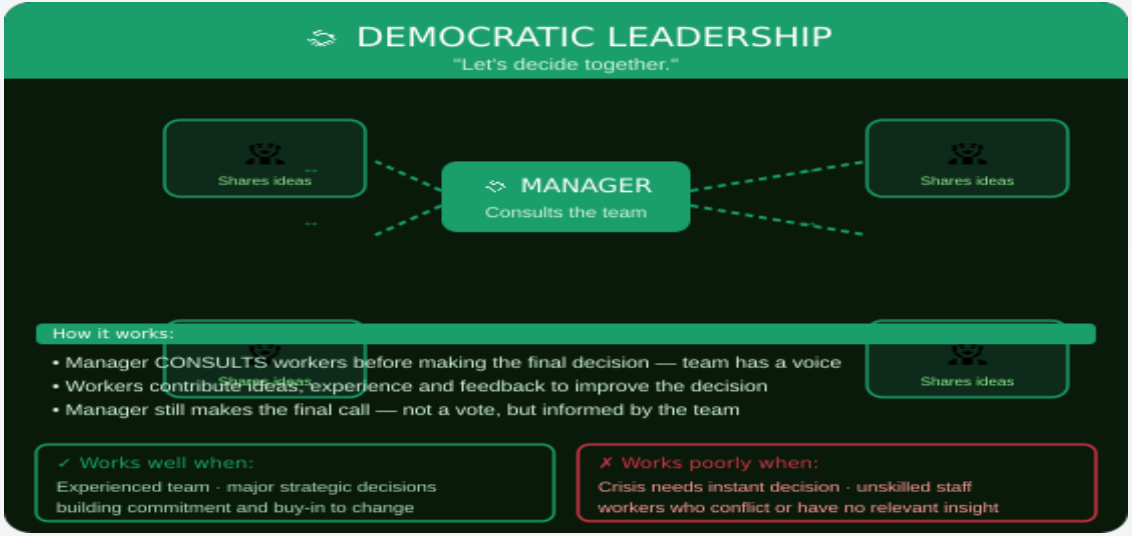
New production line workers
Unskilled staff with no experience — they need clear instruction, not autonomy.

Crisis / tight deadline
A store about to fail a health inspection — manager must act fast and decisively.

Exam tip: Autocratic = fast decisions, clear control, suits crises and unskilled workers. Disadvantage = demotivation. Always link to the SPECIFIC business in the question.

Leadership Style 2 – Democratic

The democratic style means the manager consults workers before making the final decision. The team has a voice — but the manager still decides. It is not a vote.



Advantages

- Workers feel valued — motivation and commitment increase
- Better decisions — more ideas and perspectives considered
- Builds loyalty — team members are invested in the outcome

Disadvantages

- Slower — takes time to consult and reach a decision
- Workers may disagree with each other — conflict arises
- Not ideal in an emergency when speed is needed

When to use Democratic — real examples:

Strategy planning
An experienced management team deciding a new 5-year business strategy.

Implementing change
Rolling out new working practices — buy-in from staff makes change work.

Diverse skilled team
A marketing department with specialists — all views improve the final campaign.

Exam tip: Democratic = motivated, better decisions, builds commitment. Disadvantage = slower and not suited to emergencies. The manager still makes the final decision — it is not a vote.

Leadership Style 3 – Laissez-Faire

Laissez-faire means the manager sets the objective then steps back — workers have complete freedom over HOW they achieve it. Best suited to highly skilled, self-motivated professionals.

LAISSEZ-FAIRE LEADERSHIP

"Here are the goals. You decide how."

← **MANAGER** Sets goal · steps back →

- **Innovates** — Solves independently
- **Creates** — Designs own approach
- **Researches** — Self-directed work
- **Leads own** — Sub-team

How it works:

- Manager sets the objective then gives workers FULL FREEDOM over how to achieve it
- No micromanagement — workers self-organise, self-motivate and make decisions
- Manager is available for support but does not interfere with the process

✓ Works well when:

Highly skilled experts: doctors, lawyers, designers
Research teams · creative agencies · R&D departments
where workers are MORE expert than the manager

✗ Works poorly when:

Workers lack experience or confidence
Tasks need tight deadlines or coordination
When direction and accountability are critical

Advantages

- Highly motivating for skilled, creative professionals
- Encourages innovation — workers solve problems their own way
- Manager freed to focus on strategy and external matters

Disadvantages

- Can cause confusion — unclear direction or priorities
- Not suitable for inexperienced or unconfident workers
- Quality standards may be difficult to maintain consistently

When to use Laissez-Faire — real examples:

R&D / Research team

Scientists designing a new product — they know more than the manager about HOW.

Creative agency

Designers and copywriters — creativity requires freedom to experiment and explore.

Software developers

Tech teams at Google and Meta — engineers self-organise with minimal management.

Exam tip: Laissez-faire = maximum autonomy for skilled experts. NEVER recommend this for new, unskilled or unmotivated workers. Link to specific job types in your justification.

Downsizing & Trade Unions

Redundancy · Why reduce workforce · What unions do

Downsizing – Reducing the Size of the Workforce

Downsizing means reducing the number of employees in a business. It is a serious decision with significant impacts on the business and its workers.

Reasons a business may need to reduce its workforce:

- Automation — machines replace human workers, reducing the need for manual staff
- Reduced demand — falling sales means less production and fewer workers needed
- Lower costs — labour is expensive; cutting headcount reduces wage bill quickly
- Restructuring — business reorganises, merges departments or closes product lines
- Offshoring — moving production to another country with lower labour costs

Redundancy vs Dismissal:

Redundancy	The JOB no longer exists — not a reflection on the worker's performance. Worker entitled to redundancy pay based on age and length of service.
Dismissal	The WORKER is let go because of their behaviour, performance or capability. Must follow fair procedure — risk of unfair dismissal claim if not.

Exam tip: Redundancy = job gone. Dismissal = person gone. The exam may ask which employee to make redundant — justify using specific skills, performance or role.

Trade Unions – What They Are and What They Do

A trade union is an organisation that represents the interests of employees. It negotiates with employers on behalf of its members — collectively, workers have more power.

Trade Unions

Organisations that represent workers' interests

Better Pay
Negotiate higher wages and benefits on behalf of all members

Safer Workplaces
Push for health & safety improvements and compliance

Protect Rights
Support members facing unfair dismissal or discrimination

Training
Negotiate training opportunities and career development

Collective Bargaining
Negotiate as a group — more power than individual workers

e.g. Unite · UNISON · GMB · NUT (now NEU)

Impact on Employers

- Reduces individual disputes — one negotiation covers all workers
- Collective agreements provide clarity and reduce uncertainty

- Can lead to industrial action (strikes) if negotiations fail
- May push wage costs above what the business can afford
- Negotiations can be slow — takes management time

Collective Bargaining — How It Works

Union representatives negotiate with management on behalf of ALL union members. This is far more powerful than individual workers negotiating alone — the employer must take the union seriously. Outcomes cover pay, working hours, holidays, safety standards and benefits.

Examples: Unite (manufacturing, transport), UNISON (public sector), NUT/NEU (teaching), GMB (retail, services).

Key Revision Checklist – 2.2 Organisation and Management

Tall structure	Many layers, narrow span of control, long chain of command. Slow communication but clear roles and responsibilities
Flat structure	Few layers, wide span of control, short chain of command. Fast communication, more delegation, workers empowered
5 Functions	Planning · Organising · Coordinating · Commanding · Controlling — managers must do all five effectively
Delegation	Passing authority to subordinates. Frees managers, motivates staff. Risk: loss of control, poor decisions if worker inexperienced
Autocratic	Manager decides alone, fast, clear. Good for: crises, unskilled staff. Bad for: creative teams, motivated professionals
Democratic	Workers consulted, team involved. Good for: experienced staff, big decisions. Slower — not for emergencies
Laissez-Faire	Workers given freedom. Good for: creative experts, high-skill professionals. Bad for: unskilled, those needing direction
Downsizing	Reasons: automation, reduced demand, cost-cutting, restructuring, offshoring. Redundancy = job gone, not worker's fault
Trade Unions	Represent workers in collective bargaining. Benefits: better pay, safer conditions, job protection. Examples: Unite, UNISON, NEU